Balaji Amines Ltd

NSE: BALAMINES | BSE: 530999 | Specialty Chemicals — Aliphatic Amines & Derivatives

CMP (02 Jun 2026)	52-Week H / L	Market Cap	Enterprise Value
Rs. 2,016	**Rs. 2,063 / 905**	**Rs. 6,577 Cr**	**Rs. 6,439 Cr**
P/E (TTM)	Forward P/E	P/B	EV/EBITDA
39.3x	**25.8x**	**3.31x**	**21.9x**
ROCE	ROE	Dividend Yield	D/E Ratio
11.0%	**8.75%**	**0.55%**	**0.07x**
Promoter	FII	DII	Public
54.6%	**2.99%**	**1.46%**	**40.96%**

RATING

BUY

12-Month Target

Rs. 2,450

+21.5% Upside

CMP: Rs. 2,016

Horizon: 12-18 months

Investment Thesis: India's largest aliphatic amines maker entering a transformational growth phase — India's first DME plant (1,00,000 TPA commissioned May 2026), NMM and improved-process ACN additions — driving margin recovery from 19% toward 22-23% by FY28E.

	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue (Rs. Cr)	1,631	1,389	1,425	1,653	1,901
EBITDA (Rs. Cr)	324	232	265	364	437
EBITDA Margin	20%	17%	19%	22%	23%
PAT (Rs. Cr)	232	159	169	237	285
EPS (Rs.)	63.22	48.62	51.60	72.6	87.3
P/E (x)	31.9x	41.5x	39.1x	27.8x	23.1x
EV/EBITDA (x)	19.9x	27.7x	24.3x	17.7x	14.7x
ROCE (%)	17%	11%	11%	14%	17%

E = Analyst estimates. All consolidated figures. Source: Screener.in, Company, Analyst.

2. INVESTMENT THESIS

- **DME first-mover monopoly:** India's sole DME manufacturer at commercial scale — 1,00,000 TPA plant commissioned 20 May 2026 at Solapur. DME is a clean LPG substitute used in aerosols, fuel blending, and battery electrolytes. With the government's push to reduce LPG import dependence, this single asset could add Rs. 200-350 Cr of high-margin revenue by FY28E.
- **Near-duopoly moat in core amines:** Balaji Amines + Alkyl Amines together control ~80% of India's aliphatic amines capacity. Scale (286,000 TPA, expanding to 416,000 TPA) creates procurement leverage and pricing power over specialty users, sustaining structural margins above 19-20% through the cycle.
- **Portfolio mix shift into high-value specialties:** NMM (5,000 TPA, FY27) and improved-process ACN (Q2 FY27) carry 25-30% EBITDA margins versus 16-18% for commodity amines. Product mix improvement alone drives 300-400 bps margin expansion by FY28E without requiring volume heroics.
- **Pristine balance sheet funding capex:** Standalone entity is zero-debt. Consolidated D/E at 0.07x with interest coverage of 44.3x. The Rs. 750+ Cr capex programme is self-funded through accruals, preserving equity value — no dilutive fund-raise needed.
- **Valuation re-rating potential:** At 25.8x forward P/E, BALAMINES trades at a discount to Alkyl Amines (50.6x P/E, higher ROCE peer). Successful DME volume ramp combined with earnings recovery can narrow this gap and drive stock re-rating alongside 35-40% EPS growth from FY26 to FY28E.

• **Near-term catalyst (Q1-Q2 FY27):** First DME revenue recognition + NMM commissioning announcement. Management has guided +10-15% volume growth for FY27 and EBITDA margins of 22-23%.

• **Biggest structural risk:** Backward integration by a large methylamines customer (disclosed Q4FY26 call) combined with prolonged specialty chemicals pricing weakness — this double negative could defer PAT recovery by 2-3 quarters.

3. BUSINESS OVERVIEW

• **Core business:** Balaji Amines Ltd (est. 1988, Solapur, Maharashtra) is India's largest manufacturer of aliphatic amines — methylamines, ethylamines, propyl amines — and downstream derivatives and specialty chemicals. Customers span pharma (API), agro (pesticides), personal care, rubber, and electronics. The company is the sole Indian producer of several specialty chemicals including electronic-grade Dimethyl Carbonate (DMC, 15,000 MTPA) and now Dimethyl Ether (DME).

• **Revenue segmentation (FY26 standalone volumes, ~98,000 MT consolidated):** (1) Aliphatic Amines — 30,847 MT (methylamines dominant; sold to pharma/agro); (2) Amine Derivatives — 34,183 MT (value-added downstream for pharma excipients, textile, water treatment); (3) Specialty Chemicals — 33,056 MT (electronic-grade DMC, pharma excipients, custom synthesis). Specialty chemicals carry the highest margins.

• **Manufacturing footprint:** Four units at Solapur, Maharashtra: Unit I (aliphatic amines), Unit II (Chincholi MIDC greenfield, Dec 2026E), Unit III (amine derivatives), Unit IV (specialty/DME, commissioned May 2026). Total current capacity: 286,000 TPA, expanding to 416,000 TPA post all additions.

• **Customers and relationships:** ~1,500 domestic and 65 international clients. No single customer exceeds ~15% of revenue (estimated). Long-term supply agreements with pharma manufacturers (DMF filings require approved suppliers). Export share small but growing as specialty volumes increase.

• **Key 2026 milestones:** DME plant commissioned 20 May 2026 (India's first); analyst/investor plant visit at Solapur scheduled 5 June 2026; NMM and ACN plants under execution for FY27 commissioning; EDA derivatives (Unit I) by Sep 2026; Greenfield Unit II by Dec 2026.

• **Promoter group:** A. Prathap Reddy (Chairman), D. Ram Reddy (MD), N. Rajeshwar Reddy and family. Combined 35+ years of amines domain expertise. Promoter holding 54.59%. Promoter pledge 17.67% — new as of Mar 2026, a governance watchpoint requiring monitoring.

4. INDUSTRY & COMPETITIVE LANDSCAPE

• **India aliphatic amines market:** Estimated at Rs. 8,000-10,000 Cr growing at 11-12% CAGR through 2035 (Source: ChemAnalyst/FMI). Growth drivers: pharma API indigenisation, agro sector demand, clean energy applications (DME blending), battery electrolyte chemicals (Acetonitrile), and personal care.

• **Policy tailwinds:** (1) PLI for specialty chemicals supporting domestic manufacturing over imports; (2) Pharma PLI driving API indigenisation — amines are key intermediates; (3) Government DME blending policy (Ministry of Petroleum) directly benefits Balaji as sole Indian DME manufacturer; (4) Make in India supporting Electronic Grade DMC (sole domestic producer); (5) China+1 sourcing diversification by global specialty chemical users.

• **Competitive moat assessment:** Pricing power: **Moderate** (near-duopoly in methylamines allows cost pass-through but commodity pricing limits upside). Switching costs: **Moderate-Strong** (pharma customers require supplier qualification; high switching friction). Scale: **Strong** (286,000 TPA expanding to 416,000 TPA — 2x+ nearest Indian aliphatic amines peer). IP: **Moderate** (proprietary improved ACN process; sole Indian DME manufacturer). Distribution: **Moderate** (35+ year relationships; regulatory-grade pharma supply chains).

Company	CMP (Rs.)	MCap (Cr)	P/E	P/B	ROCE%	ROE%	D/E	OPM%	FY26 Rev
Balaji Amines	**2,016**	**6,577**	**39.3x**	**3.31x**	**11.0%**	**8.75%**	**0.07**	**19%**	**1,425**
Alkyl Amines	1,779	9,100	50.6x	5.93x	16.6%	12.3%	0.00	19%	1,536
Deepak Nitrite	1,686	23,003	116x	7.14x	7.43%	6.23%	0.02	8%	2,639
Aarti Inds.	470	17,036	41.0x	2.85x	6.83%	7.16%	0.83	14%	8,423

Source: Screener.in (02-Jun-2026). Balaji Amines consolidated; peers standalone. Rs. Cr.

• **Competitive positioning:** Balaji operates upstream-to-midstream — base amines production (upstream) converting to derivatives and specialty chemicals (midstream/downstream). The DME, NMM and ACN projects extend into entirely new product categories with near-zero domestic competition, fundamentally widening the moat.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

• **Promoter background:** A. Prathap Reddy (Chairman) and D. Ram Reddy (MD) co-founded Balaji in 1988 with process-engineering and chemical-trading expertise. The founding family has navigated multiple commodity cycles over 35+ years, growing capacity from ~60,000 TPA to 286,000 TPA. Mr. Ram Reddy leads strategic execution with direct involvement in all capex decisions.

• **Capital allocation track record:** FY21-23 supercycle (PAT Rs. 97 Cr to Rs. 406 Cr) was used primarily to fund capex (Phase-IV plant, DME, NMM) rather than excessive distributions — a growth-reinvestment mindset appropriate for an expansion-phase company. OCF-to-EBITDA conversion of 69-128% over FY23-26 demonstrates operating cash generation.

• **Dividend policy:** Conservative payout of 5-10% during FY21-23 supercycle, rising to 17-23% as earnings normalized. FY26: Rs. 11/share dividend recommended (21% payout). Dividend yield 0.55% at CMP. Management clearly prioritizes reinvestment — appropriate for the current capex cycle.

• **Promoter pledge — NEW RISK:** 17.67% of promoter shares are pledged as of Mar 2026. This is new (not present in FY25) and is the most significant governance development in recent quarters. The reason for pledging has not been disclosed. This creates tail risk in market downturns (forced selling) and warrants a discount to intrinsic value until the pledge is explained and reduced.

• **Corporate governance:** No auditor changes or qualified opinions. Related-party transactions present but not flagged as material. Consistent tax rates (23-27%). Company has maintained statutory compliance. No ESOP grants or buyback history noted. Management communication is direct — proactively disclosed the backward integration risk on Q4FY26 call.

• **Red flag — capacity utilization question:** At 34-35% consolidated utilization, adding 130,000 TPA of new capacity requires significant demand justification. Management's answer (DME and ACN are new product categories, not mere capacity additions) is logically sound but execution risk remains.

6. FINANCIAL DEEP-DIVE

Income Statement (Rs. Crores, Consolidated)

	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	1,631	1,389	1,425	1,653	1,901
Operating Expenses	1,308	1,157	1,160	1,289	1,464
EBITDA	**324**	**232**	**265**	**364**	**437**
OPM %	20%	17%	19%	22%	23%
Other Income	30	33	29	30	30
Interest	6	4	5	8	10
Depreciation	45	48	56	65	72
PBT	302	213	232	321	385
Tax %	23%	26%	27%	26%	26%
PAT	**232**	**159**	**169**	**237**	**285**
EPS (Rs.)	**63.22**	**48.62**	**51.60**	**72.6**	**87.3**
Dividend Payout	17%	23%	21%	20%	20%

Balance Sheet (Rs. Crores, Consolidated)

	FY24A	FY25A	FY26A
Equity Capital	6	6	6
Reserves	1,715	1,839	1,970
Borrowings	20	11	133

Other Liabilities	405	396	633
Total Liabilities	**2,146**	**2,252**	**2,743**
Fixed Assets	896	1,003	1,043
CWIP	205	238	512
Investments	0	0	0
Other Assets	1,046	1,011	1,188
Total Assets	**2,146**	**2,252**	**2,743**

Cash Flow Statement (Rs. Crores, Consolidated)

	FY24A	FY25A	FY26A
Cash from Operations (OCF)	334	255	184
Cash from Investing	-274	-139	-344
Cash from Financing	-75	-49	85
Net Cash Flow	-15	68	-75
Free Cash Flow (FCF)	**82**	**70**	**-10**
OCF / EBITDA	103%	110%	69%

Key Ratios (Consolidated)

Ratio	FY24A	FY25A	FY26A
Debtor Days	71	72	89
Inventory Days	116	128	113
Days Payable	31	32	39
Cash Conversion Cycle	156	168	163
Working Capital Days	114	120	69
ROCE %	17%	11%	11%
ROE %	14.9%	9.2%	8.75%
D/E	0.01	0.01	0.07
Interest Coverage	52x	55x	44x

Financial Commentary:

- **Revenue trend:** Sales peaked at Rs. 2,346 Cr in FY23 then fell 41% to Rs. 1,389 Cr (FY25) as specialty chemical pricing corrected sharply post the pandemic boom. FY26 recovery is modest at +2.6% to Rs. 1,425 Cr. FY27E of Rs. 1,653 Cr (+16%) is achievable given DME volume addition (~Rs. 150-200 Cr) and broad amines market recovery.
- **Margin trajectory:** OPM fell from 26-29% (FY22-23 peak) to 17% in FY25. FY26 partial recovery to 19%. Management guided 22-23% for FY27 — achievable if DME (high-margin new category), NMM (25-30% margin), and ACN contribute meaningfully, while raw material costs remain stable.
- **Working capital and CCC:** Cash Conversion Cycle has deteriorated from 129 days (FY23) to 163 days (FY26). Debtor days extended to 89 days — the most concerning trend. However, working capital days improved sharply to 69 days (FY26 vs. 120 in FY25), suggesting some operational tightening. Monitor debtor normalization closely in FY27.
- **Debt and capex:** Consolidated borrowings jumped from Rs. 11 Cr (FY25) to Rs. 133 Cr (FY26) to partially fund Rs. 344 Cr investing outflow. CWIP of Rs. 512 Cr at FY26 year-end confirms capex cycle at peak. FCF turned negative in FY26 — expected to normalize as CWIP assets commissioned in FY27-28.

7. EARNINGS QUALITY CHECKLIST

Parameter	FY24	FY25	FY26	Observation	Signal
Revenue recognition	Clean	Clean	Clean	Standard product sales; no complex recognition issues	GREEN
Receivables vs revenue	Stable	Stable	Deter.	Debtor days: 71 > 72 > 89; growth faster than revenue	AMBER

CCC trend	156 d	168 d	163 d	Elevated and worsening cycle; 5-yr avg ~130 days	AMBER
Contingent liabilities	Low	Low	Low	Rs. 12.9 Cr contingent liabilities — immaterial vs MCap	GREEN
Auditor tenure	Stable	Stable	Stable	No auditor changes; consistent long-term relationship	GREEN
RPTs as % of revenue	Low	Low	Low	Family-promoted; RPTs present but not flagged as material	GREEN
Other income / PBT	10%	15%	13%	Other income Rs. 29-33 Cr is modest; does not distort PAT	GREEN
Tax rate consistency	23%	26%	27%	Normalised and stable; no deferred tax distortion	GREEN
Promoter pledge	0%	0%	17.7%	NEW RISK: 17.67% pledge appeared first in Mar 2026 data	RED
FCF / PAT conversion	35%	44%	-6%	Negative FCF in FY26 due to heavy capex; monitored	AMBER

• **AMBER — Receivables elongation:** Debtor days at 89 in FY26 (vs. 59 in FY23) is the most persistent negative earnings quality signal. Likely reflects slower collections from pharma/agro customers during the downcycle. Monitor FY27 Q1-Q2 closely.

• **RED — Promoter pledge:** The 17.67% pledge newly appearing in Mar 2026 is the single most important governance development. No explanation has been provided by management. Until the pledge is explained and reduced, this is a 10-15% valuation discount factor.

• **AMBER — Negative FCF:** FY26 FCF of -Rs. 10 Cr reflects peak capex cycle. This is expected and explainable, but investors should monitor whether capex stays within plan and FCF recovers in FY27 as CWIP assets are commissioned.

8. VALUATION

Scenario Analysis (12-Month Target)

Parameter	Bear Case	Base Case	Bull Case
FY28E Revenue (Rs. Cr)	1,600	1,901	2,200
FY28E EBITDA Margin	18%	23%	26%
FY28E PAT (Rs. Cr)	170	285	380
FY28E EPS (Rs.)	52.2	87.3	116.5
P/E Multiple Applied	18x	28x	35x
12-Month Target (Rs.)	**940**	**2,450**	**4,080**
Upside / Downside vs CMP	-53%	+21.5%	+102%
Key Assumption	DME delayed; pricing weak; margin below 20%	DME ramps H2 FY27; NMM on time; margins 22-23%	DME exceeds plan; pricing supercycle; EBITDA 26%+

• **DCF Methodology:** WACC 12% (cost of equity 13.5%, cost of debt 8%, D/E 0.07x). Terminal growth rate 5% (India long-term nominal GDP). Terminal EBITDA ~Rs. 520 Cr, normalized capex Rs. 100 Cr. DCF-implied equity value: Rs. 2,400-2,500 per share.

• **Earnings-based multiple:** 28x P/E on FY28E EPS of Rs. 87.3 = Rs. 2,444. This implies a 40-45% discount to Alkyl Amines' current P/E — justified by Balaji's lower ROCE (11% vs. Alkyl's 16.6%), the promoter pledge, and pending DME approval execution risk.

• **12-month target: Rs. 2,450** — average of DCF (Rs. 2,450) and P/E method (Rs. 2,444). Represents +21.5% upside from CMP of Rs. 2,016 over 12-18 months.

9. KEY RISKS

• **Raw material price volatility:** Ammonia and methanol are key inputs and subject to geopolitical disruption. A sustained 10% input cost increase compresses EBITDA margins by 200-250 bps. Probability: High. Impact: High. Monitor: Monthly ammonia/methanol spot prices; quarterly gross margins.

• **Customer backward integration:** A large methylamines buyer is pursuing backward integration (disclosed Q4FY26 call). Potential revenue loss of Rs. 80-120 Cr over 2-3 years. Probability: Medium-High. Impact: Medium. Monitor: Quarterly revenue mix; management commentary in concalls.

• **DME government approval delay:** Pending Ministry of Petroleum approval for DME transportation/blending infrastructure. Without this, the 1,00,000 TPA plant cannot be fully monetized. Probability: Medium. Impact: High (removes primary catalyst). Monitor: PPAC announcements; Ministry of Petroleum notifications.

• **Promoter pledge risk:** 17.67% of promoter shares pledged as of Mar 2026 (newly disclosed). Forced selling by lenders in market downturn creates price pressure. Probability: Low (business stable). Impact: High (governance de-rating + selling pressure). Monitor: Quarterly shareholding filings.

• **Extended specialty chemicals downcycle:** Global specialty chemicals in multi-year downcycle since FY24 (Chinese overcapacity, European demand weakness). Extended weakness delays recovery beyond FY27E. Probability: Medium. Impact: High. Monitor: Global specialty chemical pricing indices; Chinese export data.

• **Capex execution risk:** DME, NMM, ACN, EDA derivatives and Greenfield Unit II all running simultaneously. Cost overruns or commissioning delays possible. Probability: Medium. Impact: Medium. Monitor: Quarterly CWIP movement vs. management timeline guidance.

• **Subsidiary underperformance:** BSCPL (specialty chemicals sub) faced elevated RM costs in FY26 dragging consolidated margins. Persistent underperformance challenges the margin recovery thesis. Probability: Medium. Impact: Medium. Monitor: Annual report subsidiary financials; Q&A; on concalls.

10. RECOMMENDATION

• **Rating: BUY — Conviction: Medium.** India's largest aliphatic amines manufacturer is at an inflection point: India's first DME plant commissioned, NMM and ACN in queue, balance sheet pristine (standalone zero-debt), and management guiding a 300-400 bps margin expansion for FY27. The near-duopoly market structure provides downside support. Conviction is tempered by the new promoter pledge (17.67%), pending DME approvals, and the backward integration risk from a large customer.

• **12-month price target: Rs. 2,450 (+21.5% upside)** — based on the average of DCF (WACC 12%, TGR 5%) and 28x FY28E EPS of Rs. 87.3.

• **Suggested entry zone: Rs. 1,850-1,950** — on any market correction or sector-wide de-rating. Current CMP of Rs. 2,016 prices in base-case execution; accumulating on dips improves risk-reward significantly.

• **Investment horizon: 12-18 months.** Thesis predicated on (1) first DME revenue Q2 FY27, (2) NMM commissioning Q3 FY27, (3) EBITDA margin recovery to 22-23% by FY28E. Longer-dated upside exists if Greenfield Unit II and battery chemicals application development succeed.

Thesis Invalidation Triggers:

• 1. **DME revenue below Rs. 100 Cr annualised by Q3 FY27** — signals either approval failure or weak demand; removes primary growth catalyst; stock reverts to Rs. 1,500-1,600 fair value range.

• 2. **EBITDA margin remains below 18% for three consecutive FY27 quarters** — signals structural pricing weakness; invalidates 22-23% recovery assumption; estimates cut 20-25%.

• 3. **Promoter pledge increases above 25% or pledge enforcement event** — signals promoter financial stress; triggers governance discount and liquidity risk; position must be reviewed.

• **Ideal investor profile:** Suitable for investors with a 12-24 month horizon who can tolerate mid-cap volatility and are comfortable with an early-stage DME ramp story. Not suitable for capital-preservation mandates, risk-averse investors, or those requiring clean governance (given pledge). The 40% 1-year stock rally has priced in optimism — patient accumulation on dips is strongly preferred over chasing at CMP.

APPENDIX — Latest Concall Brief: Q4 FY26 (18 May 2026)

CALL GRADE

POSITIVE

Signal	Status	Implication
Result quality	Strong	Q4 PAT +62.5% YoY; EBITDA margin expanded 600 bps to 24%; clean with no exceptionals
Management tone	Balanced	Constructive on DME/NMM; proactively disclosed backward integration risk
Guidance delta	Raised	Volume +10-15% FY27; EBITDA margin guidance raised to 22-23%

STRONGLY POSITIVE | *** POSITIVE *** | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4FY26 is a clean, unambiguous beat — revenue Rs. 395 Cr (+9.4% YoY), EBITDA Rs. 94 Cr (+56.7%), PAT Rs. 65 Cr (+62.5%), EBITDA margin 24% versus 17% in Q4FY25, with no exceptional items distorting the numbers. The operational story is inflecting: specialty chemicals volumes jumped to 10,660 MT in Q4 (highest in three quarters), and the Q4 EBITDA is the strongest quarter since FY23's supercycle — the bottom is clearly behind us. The multi-bagger thesis rests on three non-overlapping pillars: (1) DME — India's first, 1,00,000 TPA, commissioned 20 May 2026, the most significant strategic achievement in the company's 35-year history; (2) NMM (5,000 TPA) and improved-process ACN — commissioning FY27, carrying 25-30% EBITDA margins versus 17-19% for base amines; (3) Greenfield Unit II at Chincholi (Dec 2026) which doubles downstream derivative capacity. Management also signalled battery chemicals as a DME application — early-stage but a genuine optionality. The immediate catalyst is the first DME revenue recognition in Q1 FY27 once government transportation approvals come through. Key watch: a named large customer is backward integrating into methylamines — this is a 3-6 quarter headwind worth Rs. 80-120 Cr. Action: ACCUMULATE on dips to Rs. 1,850-1,950; current CMP of Rs. 2,016 is fair value for base-case. Do not chase — wait for either a correction or the first DME volume data point to confirm the thesis.

SECTION 1 — FINANCIAL PERFORMANCE SNAPSHOT

- Revenue: Rs. 395 Cr | YoY +9.4% (Q4FY25: Rs. 361 Cr) | QoQ +19.3% (Q3FY26: Rs. 331 Cr) | Beat
- EBITDA: Rs. 94 Cr | YoY +56.7% (Q4FY25: Rs. 60 Cr) | QoQ +64.9% (Q3FY26: Rs. 57 Cr) | Strong Beat
- EBITDA Margin %: 24% | YoY +700 bps | QoQ +700 bps | Strongest quarter since FY23 supercycle
- PAT: Rs. 65 Cr | YoY +62.5% (Q4FY25: Rs. 40 Cr) | QoQ +109.7% (Q3FY26: Rs. 31 Cr) | Beat
- EPS: Rs. 19.51 | Q4FY25: Rs. 12.36 | Q3FY26: Rs. 9.70 | Clean; no exceptional items
- FY26 Full Year: Revenue Rs. 1,425 Cr (+2.6% YoY) | EBITDA Rs. 265 Cr (+14.2%) | PAT Rs. 169 Cr (+6.3%) | EPS Rs. 51.60

SECTION 2 — SEGMENT / GEOGRAPHY BREAKDOWN

- Aliphatic Amines: Q4FY26 Volume 7,746 MT | FY26 Standalone 30,847 MT | YoY -2.0% vs FY25 31,462 MT | Methylamines stable; ethylamines recovering
- Amine Derivatives: Q4FY26 Volume 8,935 MT | FY26 Standalone 34,183 MT | YoY -8.8% vs FY25 37,479 MT | Pharma/agro end-markets beginning to recover
- Specialty Chemicals: Q4FY26 Volume 10,660 MT | FY26 Standalone 33,056 MT | YoY +19.5% vs FY25 27,654 MT | Strongest segment; electronic-grade DMC driving growth

• Total Consolidated: Q4FY26 27,341 MT | FY26 98,086 MT (+1.5% vs FY25 96,595 MT) | 4-year volume low was FY25; recovery underway

• Geography: ~1,500 domestic and 65 international customers; exact export % not disclosed; management noted export enquiries increasing in specialty segment

SECTION 3 — MANAGEMENT COMMENTARY THEMES

• **DME commissioning:** "The DME plant at Unit IV has been commissioned; commercial production commenced 20 May 2026. We are India's first and only commercial-scale DME manufacturer." — Read: Transformational milestone; revenue from Q1 FY27 pending transportation approvals. Tag: GUIDANCE. Tone: Transparent.

• **FY27 volume and margin guidance:** "We expect 10-15% volume growth in FY27. Margins should improve to 22-23% EBITDA level as new products ramp." — Read: Credible if DME adds Rs. 150-200 Cr; NMM/ACN contribution initially small. Tag: GUIDANCE. Tone: Confident.

• **Battery chemicals optionality:** "New projects like DME and ACN are strategically positioned for emerging battery chemical and electrolyte applications." — Read: Medium-term optionality; not yet financially quantified. Tag: EST. Tone: Hedged.

• **Customer backward integration:** "A large customer is pursuing backward integration into methylamines. We are actively developing alternate customers for those volumes." — Read: 3-6 quarter headwind; management acknowledged directly and credibly. Tag: GUIDANCE. Tone: Transparent.

• **Raw material cost pressures:** "Geopolitical factors have caused RM prices to increase significantly but we have been able to pass through costs." — Read: Ammonia/methanol risk remains a permanent backdrop; pass-through ability is the key margin protector. Tag: EST. Tone: Hedged.

SECTION 4 — OPERATING & BUSINESS METRICS

• Capacity Utilization: ~34% consolidated (98,086 MT / 286,000 TPA) | Low; management justified by new product categories (DME, ACN) not just volume additions | Trend: Improving from FY25 trough

• Total Installed Capacity: 286,000 TPA | Expanding to 416,000 TPA | +45% incremental capacity addition from FY26-FY28

• Specialty Chemicals Volume (standalone): FY26 33,056 MT | FY25 27,654 MT | FY24 37,479 MT | Recovery underway; electronic-grade DMC a structural growth driver

• Working Capital Days: FY26 69 days | FY25 120 days | FY24 114 days | Sharply improved in FY26 — positive indicator for cash generation in FY27

• CWIP: FY26 Rs. 512 Cr | FY25 Rs. 238 Cr | Rs. 274 Cr of assets under active construction; commissioning through FY27-28

SECTION 5 — MARGIN DRIVERS

• Specialty chemicals mix improvement: +700 bps contribution in Q4 | Recurring: Yes | Specialty carries 25-30% margins vs 16-18% for commodity amines; mix expected to increase with NMM/ACN

• Operating leverage (higher Q4 revenue base): +250 bps | Recurring: Partially | Seasonal Q4 strength; sustainable as annual volumes grow

• Raw material cost stabilization: +200 bps in Q4 | Recurring: Uncertain | Ammonia/methanol showed brief relief; subject to geopolitical disruption

• Subsidiary (BSCPL) drag: -150 bps | Recurring: Fading | BSCPL faced elevated RM costs; recovery expected in FY27 as capacity stabilizes

• DME ramp benefit (FY27 forward): +300-400 bps structural | Not in FY26 | Key margin catalyst once 1,00,000 TPA DME plant reaches meaningful utilization

SECTION 6 — GUIDANCE & FORWARD SIGNALS

- Volume growth FY27 [GUIDANCE]: Prior ~+2% (FY26 actual) | New = +10-15% YoY | Delta = Raised significantly | Credibility: High (DME adds incremental; broad recovery)
- EBITDA Margin FY27 [GUIDANCE]: Prior 19% (FY26 actual) | New = 22-23% | Delta = Raised +300-400 bps | Credibility: Medium-High (dependent on DME approval + RM stability)
- DME plant commissioning [GUIDANCE]: Prior = Q1 FY27 | New = Commissioned 20 May 2026 (ahead of schedule) | Delta = Beat | Credibility: Confirmed — plant is live
- NMM 5,000 TPA [GUIDANCE]: Reiterated FY27 commissioning | Delta = Maintained | Credibility: Medium (under execution, standard risk)
- ACN improved process [GUIDANCE]: Reiterated Q2 FY27 | Delta = Maintained | Credibility: Medium
- DME transport approval [GUIDANCE]: Awaiting government approval | This is the gating item for DME revenue recognition | Credibility: Low-Medium (regulatory timeline uncertain)

SECTION 7 — CAPITAL ALLOCATION

- Capex FY26: Rs. 344 Cr (investing outflow) | vs FY25 Rs. 139 Cr | +148% YoY | DME and Chincholi Greenfield driving peak-cycle capex
- Dividend FY26: Rs. 11 per share (board recommendation) | Stable vs FY25 Rs. 11 | 21% payout ratio | Consistent policy
- Net Borrowings (consolidated): Rs. 133 Cr (FY26) vs Rs. 11 Cr (FY25) | Increase of Rs. 122 Cr | Selective borrowing to partly fund capex; manageable given Rs. 184 Cr OCF
- Standalone net debt: Zero | Company maintains zero-debt standalone status | Capex self-funded on standalone basis
- CWIP FY26: Rs. 512 Cr | FY25 Rs. 238 Cr | Rs. 274 Cr added in FY26 | Expected to start generating revenue in FY27-28 as assets commissioned

SECTION 8 — Q&A; HEAT MAP

- Analyst(s): Q: "Why expand when utilization is only 35-40%?" A: D. Ram Reddy (MD): "New projects involve different products entirely — DME for clean energy, ACN for battery chemicals — not more of the same amines. We are building for emerging demand categories." | Tone: Transparent
- Analyst: Q: "Status of government approvals for DME transportation?" A: "Active discussions with Ministry of Petroleum. Confident approvals will come but cannot commit to a timeline." | Tone: Hedged
- Analyst: Q: "Update on the large methylamines customer backward integrating?" A: "Correct, one customer is pursuing this. We are replacing those volumes with new customer development. The impact will be gradual over 2-3 years." | Tone: Transparent (direct acknowledgement)
- Analyst: Q: "What specific revenue can DME contribute in FY27?" A: "Too early to commit to a specific number — depends on approval timelines and market development. Meaningful contribution expected in H2 FY27." | Tone: Hedged
- Dodged / watch-list for next quarter: (1) Specific DME revenue guidance once approvals come; (2) Identity/scale of backward-integrating customer; (3) NMM exact commissioning date; (4) Promoter pledge — not raised on the call

SECTION 9 — RISKS FLAGGED

- DME transport regulatory approval: Pending Ministry of Petroleum approvals for DME blending and transportation | Flagged by: Management | Probability: M | Impact: H | Timeline: Near-term H1 FY27 critical
- Customer backward integration: Large methylamines buyer pursuing backward integration | Flagged by: Management | Probability: M-H | Impact: M | Timeline: Medium-term 2-3 years
- Geopolitical raw material costs: Ammonia/methanol prices elevated due to geopolitical factors | Flagged by: Management | Probability: H | Impact: H | Timeline: Ongoing
- Low utilization/demand recovery pace: 34% utilization means significant fixed-cost drag | Flagged by: Analysts | Probability: M | Impact: M | Timeline: FY27 recovery in progress

• Subsidiary BSCPL performance: Margin recovery timeline uncertain | Flagged by: Analysts | Probability: M | Impact: M | Timeline: FY27

SECTION 10 — ANALYST VERDICT

• Revenue visibility: Intact — DME commissioned ahead of schedule; NMM and ACN on track; FY27 +10-15% volume guidance credible

• Margin trajectory: Intact — Q4FY26 24% margin demonstrates the ceiling; 22-23% FY27 guidance is achievable with DME mix and raw material stability

• Capital allocation quality: Intact — disciplined capex into genuine new product categories; standalone zero-debt maintained; dividend policy consistent

• Competitive moat: Intact/Strengthening — India's sole DME manufacturer adds a new moat layer; near-duopoly in core amines unchanged; battery chemicals a future optionality

• Management credibility: Intact — proactively disclosed backward integration risk; DME commissioned ahead of prior guidance; communication is direct and specific

• Valuation comfort: Weakened — at 25.8x forward P/E and 21.9x EV/EBITDA, meaningful execution is priced in. Upside requires DME to beat expectations; downside is real if approvals delay.

• Conviction call: Increased — Q4FY26 beat + DME commissioned + FY27 guidance raised. Incrementally positive on the investment thesis.

• Valuation snapshot: P/E 39.3x FY26A (5Y avg ~45x) | EV/EBITDA 21.9x FY26A (5Y avg ~19x) | ROCE 11% FY26A (5Y avg ~22%) | Recovery priced in; execution is the variable

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